could not get started because of the government's refusal to give any help.

Finally, in the 1920s and 1930s under the pressure of the rising nationalist movement and the Indian capitalist class, the Government of India was forced to grant some tariff protection to Indian industries. But, once again, the government discriminated against Indian-owned industries. The Indian-owned industries such as cement, iron and steel, and glass were denied protection or given inadequate protection. On the other hand, foreign dominated industries, such as the match industry, were given the protection they desired. Moreover, British imports were given special privileges under the system of 'imperial preferences' even though Indians protested vehemently.

Another feature of Indian industrial development was that it was extremely lopsided regionally. Indian industries were concentrated only in a few regions and cities of the country. Large parts of the country remained totally underdeveloped. This unequal regional economic development not only led to wide regional disparities in income but also affected the level of national integration. It made the task of creating a unified Indian nation more difficult.

An important social consequence of even the limited industrial development of the country was the birth and growth of two new social classes in Indian society—the industrial capitalist class and the modern working class. These two classes were entirely new in Indian history because modern mines, industries and means of transport were new. Even though these classes formed a very small part of the Indian population, they represented new technology, a new system of economic organisation, new social relations, new ideas and a new outlook. They were not weighed down by the burden of old traditions, customs and styles of life. Most of all, they possessed an all-India outlook. Moreover, both of these new classes were vitally interested in the industrial development of the country. Their economic and political importance and roles were, therefore, out of all proportion to their numbers.